FRVO

FRVO N/A

Buy	$33.60 ▼ 1.06%	12M Price Target **$48.00**	52-Week Range $32.61 – $42.65	Market Cap $9.88B

FRVO: Post-IPO Reset Creates Entry; Reiterate Buy on Geothermal Scale-Up

WHAT'S CHANGED

- FRVO closed at $33.60 (-1.06%), now trading at just 10% of its 52-week range ($32.61–$42.65) after a brutal 5-session decline from $39.97 (-16% cumulative); stock is testing 52-week lows on declining volume (1.66M vs. 3.32M on 6/3), suggesting capitulation rather than sustained selling.
- Investing.com (6/8) flagged bullish Wall Street initiations on geothermal scale-up thesis; options flow strongly bullish (P/C 0.19, 349 calls vs 66 puts) signaling positioning for a bounce despite spot weakness.

IMPLICATIONS

The disconnect between bullish sell-side initiations, lopsided call flow, and a stock tagging 52-week lows points to post-IPO lockup pressure and momentum unwind rather than fundamental deterioration — the geothermal scale-up narrative (Cape Station, hyperscaler PPAs) remains intact. With Utilities flat (+0.02% 5D) and capital rotating into Real Estate/Healthcare, FRVO is not benefiting from a sector tailwind, leaving it dependent on company-specific catalysts (project milestones, PPA announcements) to re-rate. Current levels offer asymmetric entry for risk-tolerant capital given the firm's structural position as the EGS scale leader serving data center baseload demand.

VALUATION

At $9.88B market cap on FY27E revenue of ~$410M, FRVO trades at ~24x EV/Sales FY27 — rich on absolute basis but justified vs. early-stage clean energy peers given EGS optionality and contracted backlog visibility. Base case PT of $48 implies ~43% upside on 28x FY27E sales, with multiple expansion contingent on Cape Station commissioning milestones and incremental hyperscaler PPA signings. Bear case $25 reflects de-rating to 15x on execution slippage.

KEY RISKS

- Project execution risk at Cape Station — drilling cost overruns or subsurface underperformance could compress unit economics and delay revenue ramp
- Customer concentration: heavy reliance on a small number of hyperscaler PPAs (Google, others) creates binary contract risk
- Capital intensity — additional dilutive equity raises likely needed to fund 2027–2028 buildout amid still-elevated rates

RECENT NEWS

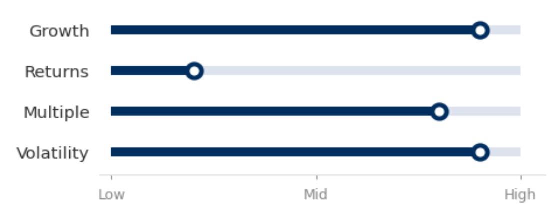
Fervo draws bullish Wall Street initiations as analysts bet on geothermal scale-up
Investing.com · 2026-06-08 18:01

A Hot IPO Lifts Geothermal Power Companies The Wall Street Journal · 2026-05-25 21:17

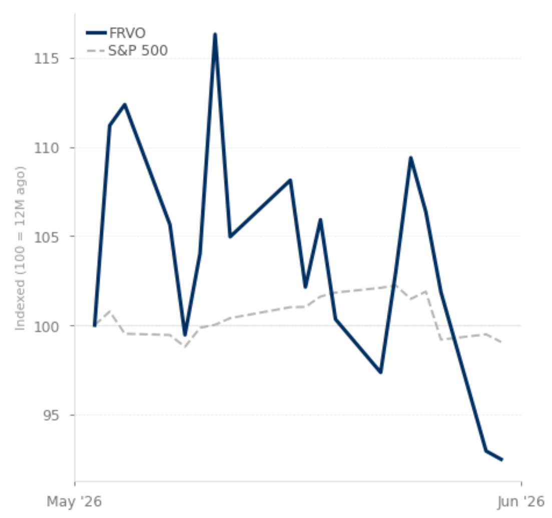
Key Data

Price (USD)	**$33.60**
12M Price Target	**$48.00**
Upside / (Downside)	**+42.9%**
Market Cap	**$9.88B**
FY2026E Revenue	**$185M**
FY2027E Revenue	**$410M**
FY2026E EPS	**($1.85)**
FY2027E EPS	**($1.20)**
Fwd P/E	**N/M**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



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FRVO — Price Outlook & Investment Strategy

EQUITY RESEARCH | EXTENDED ANALYSIS

LANGSTON'S

FRVO — FRVO | June 09, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$40.00**	$36.00	**$30.00**
6 Months	**$52.00**	$42.00	**$28.00**
1 Year	**$65.00**	$48.00	**$25.00**
2 Years	**$85.00**	$60.00	**$22.00**
5 Years	**$150.00**	$95.00	**$18.00**
10 Years	**$280.00**	$160.00	**$12.00**

SECTOR INTELLIGENCE

HOT SECTORS: Real Estate (+3.36% 5D), Healthcare (+5.36% 5D)

COLD SECTORS: Materials (-1.93% 5D), Utilities (flat)

ROTATION WATCH: Defensive rotation into Real Estate/Healthcare/Staples suggests risk-off tone, headwind for high-beta growth names like FRVO until rate path clarity returns or AI-power demand narrative reignites.

BYPRODUCT PLAY: Geothermal scale-up benefits drilling services (oilfield crossover), specialty steel/casing suppliers, and grid interconnection equipment makers serving data-center-adjacent baseload buildouts.

OUTPERFORMERS & PEER CONTEXT

- VST (Vistra): Independent power producers with nuclear/firm-power exposure continue to command premium multiples on AI data center demand narrative
- CEG (Constellation Energy): Outperforming utilities sector on hyperscaler PPA pipeline — direct read-through for FRVO's commercial thesis

FRVO CONTEXT: FRVO is significantly lagging the broader clean firm power trade — down ~16% in 5 sessions while CEG/VST remain near highs. This signals the weakness is IPO-mechanics driven (lockup, momentum unwind) rather than thematic, supporting a contrarian entry view.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: $32-34 at 52-wk low support

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delays >6mo or PPA cancellations from hyperscaler partners

Hedging: Pair vs. long XLU or short comparable pre-revenue clean energy basket